affle

Affle (India) Limited

Corporate Presentation

July 2019

Consumer Intelligence Driven Global Technology Company

affle.com

Affle | At a Glance

ABOUT

- Global technology company with a leading market position in India and a profitable business model
- Existent partnerships with top global e-commerce companies, brands & agencies

BUSINESS SEGMENTS

1) **Consumer Platform:** Delivers acquisitions, engagements & transactions for leading brands and B2C companies. Also, includes retargeting & push notification for e-commerce (**97.0%** FY2019 revenue)[1]
2) **Enterprise Platform:** Enabling offline businesses to go online through App development, O2O[2] commerce & data analytics (**3.0%** FY2019 revenue)[1]

GLOBAL REACH

India, South East Asia (SEA), Middle East and Africa (MEA), North America (NA), Europe, Japan, Korea and Australia (JKA)

43.6% India revenue[1]

56.4% International revenue[1]

END TO END MOBILE ADVERTISING PLATFORM

- In-house data management platform with over **2.0 Bn**[1,3] consumer profiles that drives our predictive & proprietary optimization algorithm
- Fraud Detection platform to help deliver high ROI to our customers

R&D FOCUS WITH A STRONG PATENT PORTFOLIO

3 Patents registered in US for digital advertising

10 Patents filed in India for digital ad fraud detection

3[4] Patents pending related to retargeting business, 1 in US and 2 in India

FINANCIAL SUMMARY[1]

(FY2019 Consolidated)

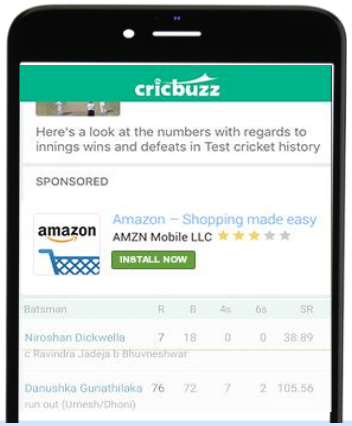
Revenue	Rs. 2,494mn
EBITDA	Rs. 703mn
PAT	Rs. 488mn

1. For the year ended March 31, 2019 on a consolidated basis; 2. O2O : Online to Offline; 3. Consumer profiles for Affle Consumer Platform 4. Affle acquired from Vizury, five pending patents, of which Affle intends to pursue one patent filed in US and two patents filed in India

Affle | Cost Per Converted User (CPCU) Business

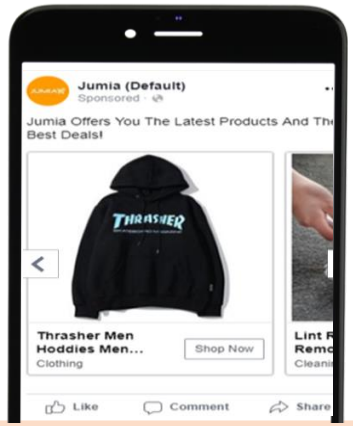
91.7% of Consumer Platform revenue contributed by CPCU model in FY2019[1] and 8.3% from Non-CPCU (CPC/CPM[2] type advertising)

New user conversion (online)



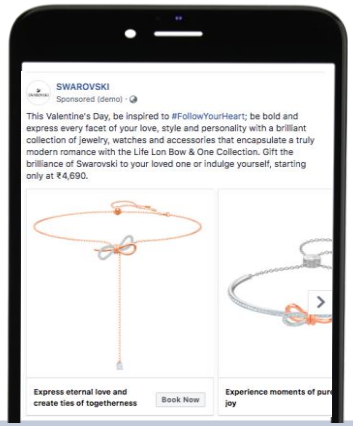
Use Case – Targeted new user acquisition optimized to in-app transaction/registration/event

Existing user repeat conversion (online)



Use Case – Target interested user to complete the transaction

New/existing user conversion (offline)



Use Case – Online bookings to drive offline walk-ins (O2O)

1. For the year ended March 31, 2019 on a consolidated basis; 2. CPC is Cost per Click, CPM is Cost per thousand Impressions
**FY2019 Consolidated information includes results of our Company, the Singapore Subsidiary and the Indonesian Subsidiary*

End to End Technology Platform

Indian Ad Tech
~39% CAGR 2017-22

Smartphone segment India
~27.1% CAGR
2017-21

E-commerce shoppers India
~20.7% CAGR 2017-25

Advertisers

mFaaS

- 10 patents filed
- DIGIXX award 2019 Digital Marketing Excellence in Technology
- IAMAI award - Best Big Data Tech Platform
- Human vs non-human traffic

SG:D Accredited

ROI

Affordable Mobile

affle

Consumer Platform Business

FY2019 CPCU[1] Revenue	=	CPCU[2,3]	x	Converted Users[3]
Rs. 2,220[3] mn	=	Rs. 40.3[2,3]	x	55.0[3] mn

Shoppers

mDMP

>300[3] bn
Consumer data points

>2.0[3] bn
Consumer profiles

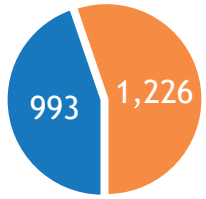
55.0[3] mn
Converted Users

Consumers

E-commerce Market → ~27.6% CAGR 2017-22 India[4]

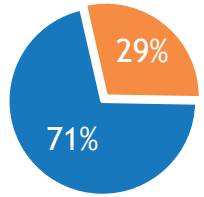
Brands / Retail

*CPCU Revenue[3] Breakup (Rs. mn)



India International

*Converted Users[3] Breakup



1. *Cost per converted user (Pricing model for Affle, which is the cost paid by the advertiser); 2. Average CPCU; 3. CPCU, Consumer profiles data and financial metrics for the year ended March 31, 2019 on a consolidated basis; 4. Potential to be achieved basis increase in digital payments, broadband penetration and product options across the country; Source: Frost & Sullivan Report*

Key Investment Highlights

1. Deep learning based understanding of consumer intent and behavior
2. End to end mobile advertising platform based solution
3. Profitable, low-cost business model with an asset light, automated and scalable platform
4. Addressing key industry issues related to consumer privacy and ad fraud
5. Proven international track record with significant growth potential
6. Well defined strategic roadmap for organic and inorganic growth
7. Leading position in India – A high growth market with substantial barriers to entry

1 Deep understanding of consumer intent & behavior

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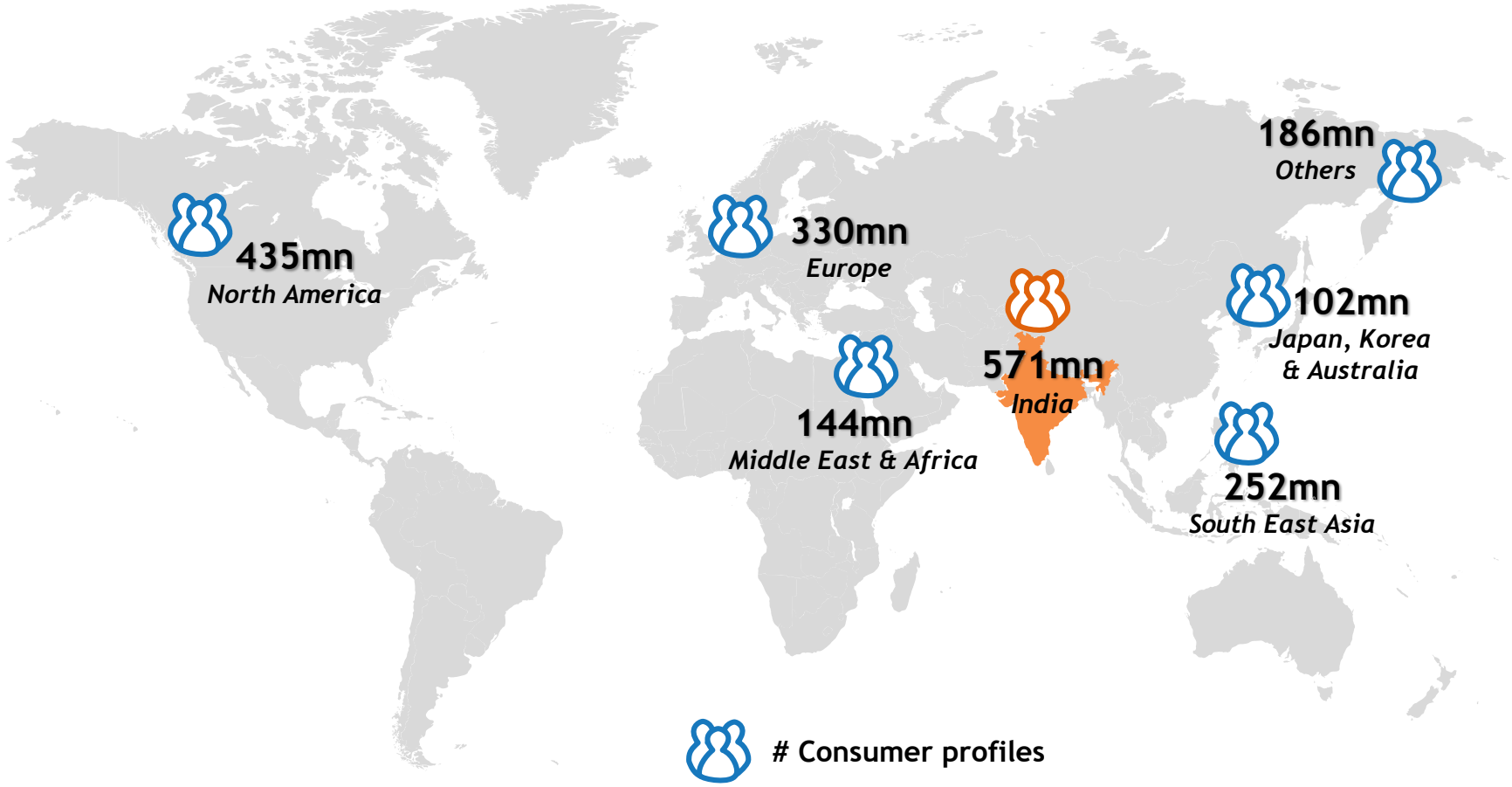
Over 2.0[1] billion consumer profiles across India and International markets



Over 300 bn

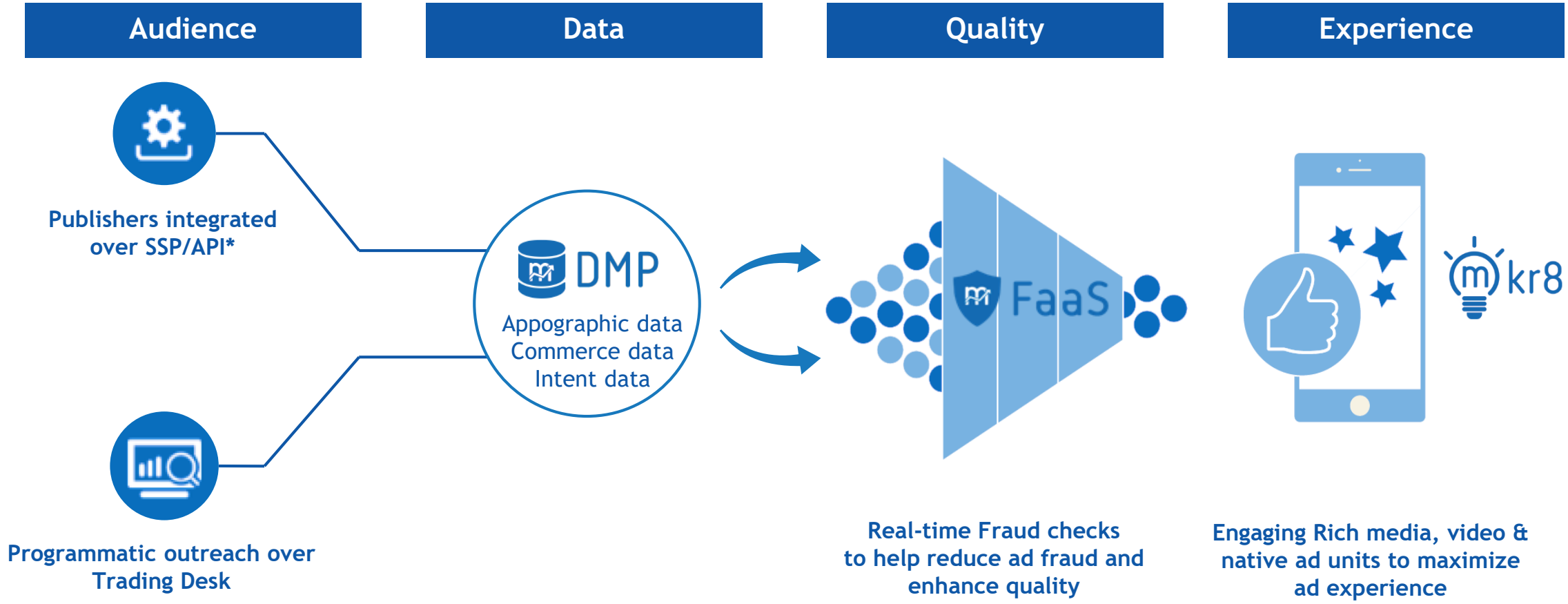
#Consumer data points accumulated in FY2019

1. Consumer profiles and the related data points accumulated during Fiscal 2019 on a consolidated basis for the Affle Consumer Platform only; not including the Vizury Commerce Business (Integration of Vizury Commerce Business's consumer profiles and the related data points with our Affle Consumer Platform is currently ongoing)

2 End to End mobile advertising platform based solution

- Affle is uniquely positioned to offer end to end platform based solutions to deliver higher ROI to its customers

Key Components of Affle's Consumer Platform



** SSP: Supply Side Platform; API: Application Programming Interface; DMP: Data Management Platform*

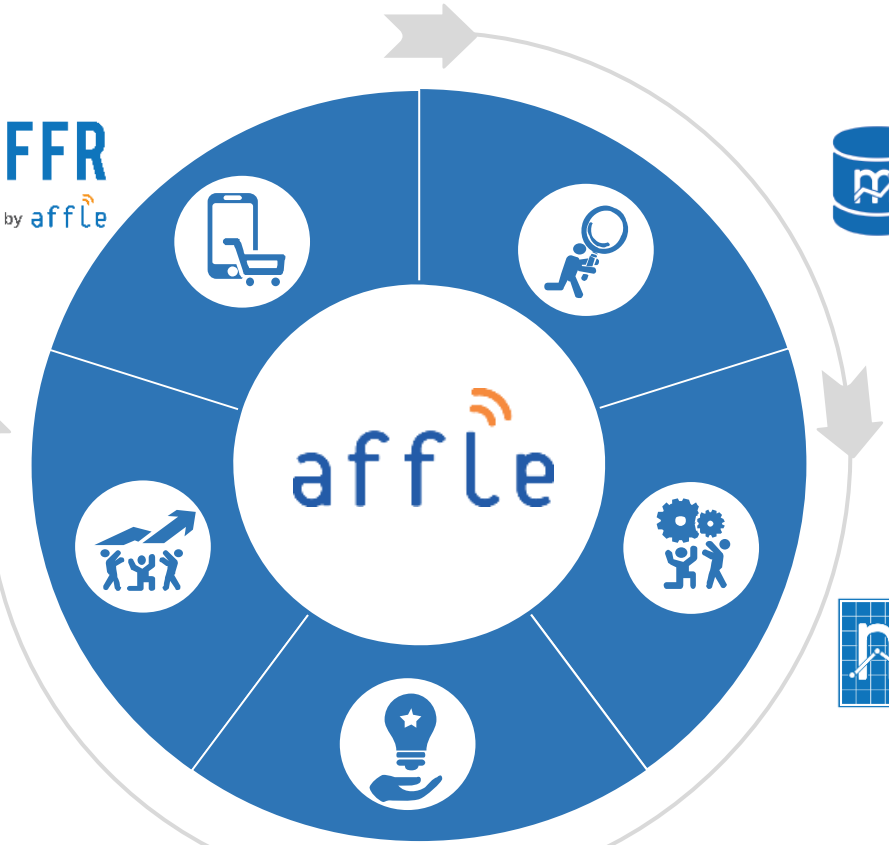
2 Consumer Platform Value Chain

Drive walk ins & measure impact

SHOFFR powered by affle

DMP

Identify interested users



Re-engage users & Maximize transactions

VIZURY powered by affle

maas

Acquire new users

mkr8

Build engagement

3 Asset light, automated and scalable platform

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- Scalable and proven technology platform has delivered outcomes profitably despite operating in a low CPCU market

Flexible and Scalable

More ads delivered
↓
Growth in consumer profiles
↓
Self Learning & Predictive algorithm
↓
Delivery of more precisely targeted ads

Strong Network effects

Enhanced ability to generate actionable outcomes, more businesses to use Affle's platforms

In-house platform leveraging cloud computing infrastructure

Secure and trusted platform to process and store large scale user data over cloud computing infrastructure with servers in India, Singapore & US

Research & Development

A result of 13 years of focused R&D, supported by a team of 100 R&D and 46 Data Platforms & operations personnel[1]

Artificial Intelligence
Machine Learning
Deep Learning

Proprietary and real time

Affle's prediction and recommendation algorithm operate in real time and at a significant scale, setting them apart from competitors

Note: 1. As at May 31, 2019

4 Addressing key industry issues related to privacy and ad fraud

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Robust IP Portfolio | Real time fraud detection through mFaaS | Platform accredited by SG:D

Data Privacy

Patents in US

3 Patents registered in US

#1 Consumer Acceptable Advertising

#2 Online Search System method & Computer Program

#3 Extending the use and/or application of messaging systems

1 Patent pending in US[1]

#4 Partner pixelling for user identification

Ad Fraud

12 Patents filed in India

10 Patents related to digital ad fraud detection

2 Patents related to consumer retargeting[1]

mFaaS

Affle's real time solution for addressing mobile ad fraud, a major issue in digital advertising

DMS | DIGIXX 2019

DIGIXX Awards 2019

mFaaS awarded Gold in 'Digital Marketing Excellence in Technology'

IAMAI Internet And Mobile Association Of India

IAMAI India Digital Awards 2017

mFaaS awarded as the industry-wide 'Best Big Data Technology Platform' of the Year

Accreditation

SG:D ACCREDITED

Singapore Government Organization

Accredited based on audits/assessment of security, reliability, usability and maintainability of the platform with data servers in Singapore, India and USA

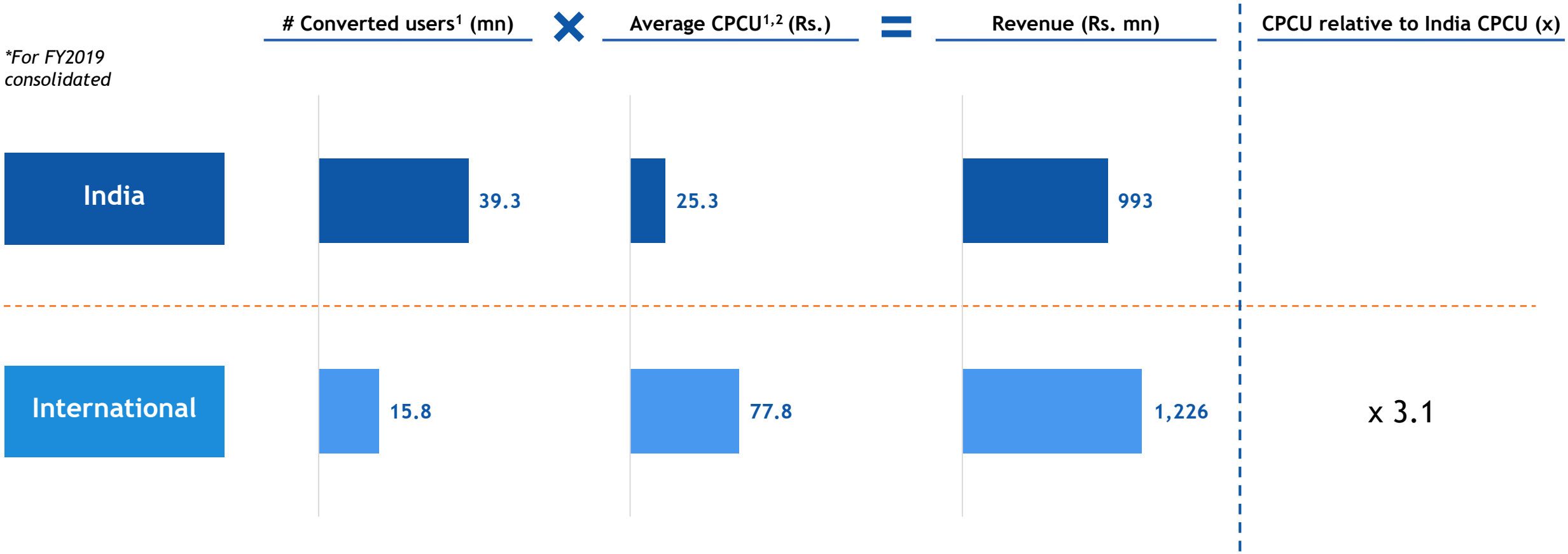
1. *Affle acquired from Vizury five pending patent applications, of which three are pending in the United States and two are pending in India. Out of the three US patents, Affle intends to pursue only one, which is in the field of partner pixelling for user identification*

5 Proven international track record with significant growth potential

affle

Given much higher CPCU in International Markets, further market penetration to drive significant revenue growth

*For FY2019 consolidated



1. Converted users and Average CPCU rounded off to nearest decimal point; 2. Cost per converted user (Pricing model for Affle, which is the cost paid by the advertiser)

**CPCU data for the year ended March 31, 2019 on a consolidated basis; where consolidated information includes results of our Company, the Singapore Subsidiary and the Indonesian Subsidiary*

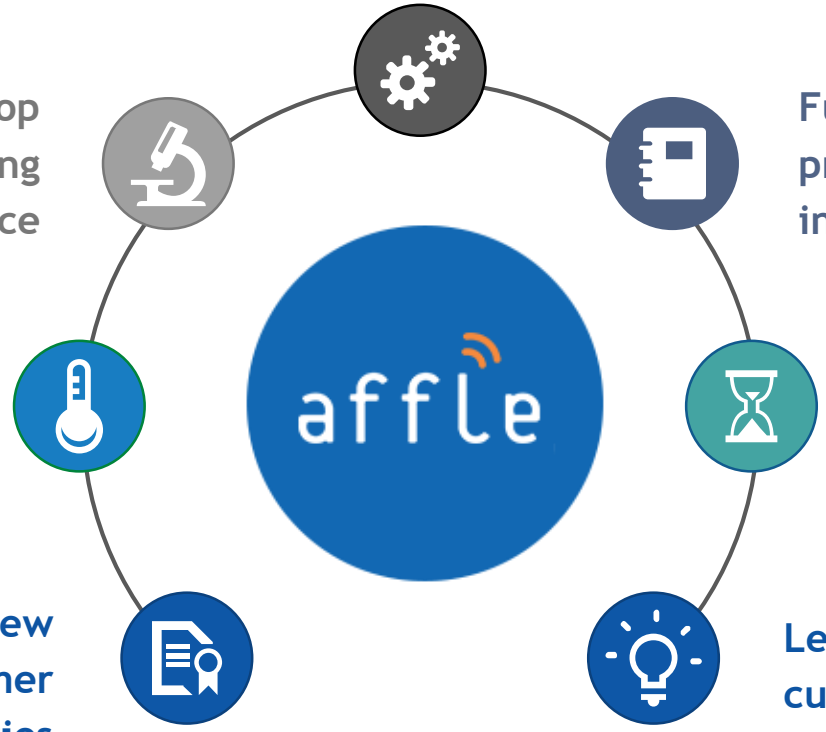
6 Well defined strategic roadmap for organic and inorganic growth

Enabled by enhancing strengths and leveraging market opportunities in India and International markets

Continue to invest in and develop technological capabilities

Drive further penetration with top customers with a key focus on delivering more converted users for e-commerce

Further develop the fraud detection & prevention platform and address key industry challenges



Expand International business through local business development efforts and referrals

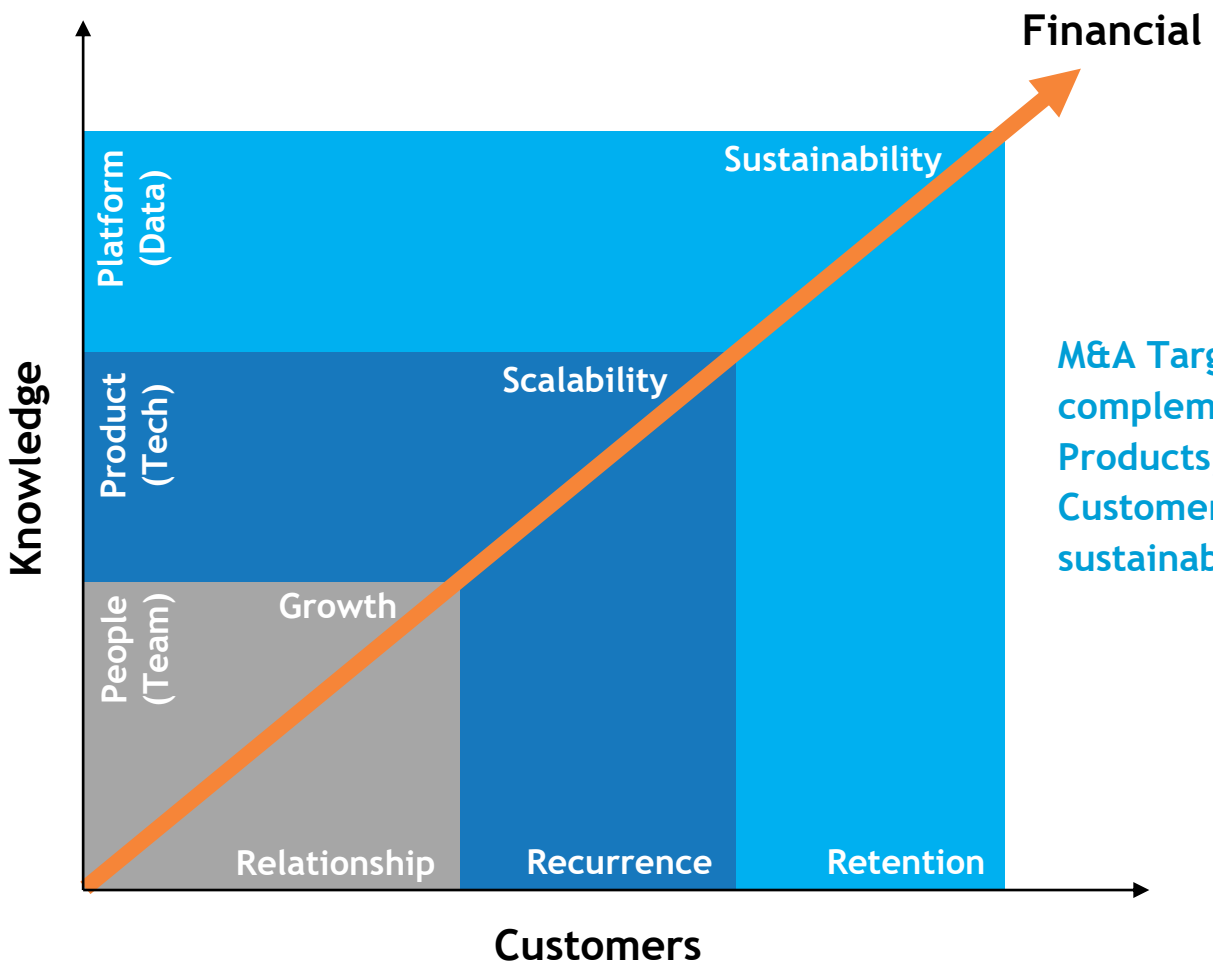
Continue to selectively pursue acquisitions

Enhance revenue from existing and new customers in India and grow consumer profiles beyond Tier I cities

Leverage Enterprise business to expand the customers for Consumer Platform

6 Inorganic Growth Plan

Pre Deal Assessment: Key Capability Attributes



M&A Targets must have complementing People, Products, Platforms and Customers that would result in sustainable financial growth...

Strategic Focus

Knowledge: Complementing teams, tech and data strengthen our strategic focus and enable efficient expansion to other emerging markets

Customers: Complementing customer relationship to enhance growth and build greater recurrence and retention with integrated tech and data

Financials: Enhance value for shareholders by enhancing the profitability of the acquired businesses and the PE multiple

7 Leading Position in India

- Affle holds a leading position in the fast growing Indian market and has demonstrated consistent profitability in a market which has substantial barriers to entry

Indian digital market to post strong growth while it is characterized by low prevailing CPCU's and other unique challenges

Indian market - substantial barriers to entry		affle Strategic advantage
Demographics	Wide variation in buying patterns by audience types making optimization of marketing spends challenging	Familiarity with local demographics, algorithm accuracy and strong network enables precise consumer targeting
Price sensitivity	Given lower consumer transaction values, India remains a low CPCU market	Track record of delivering profits in a low CPCU market like India
User behavior	Online commerce penetration is still low and thus more challenging to find transacting users	Better placed due to extensive consumer profile data, proprietary technology and local knowledge

Source: Frost & Sullivan Report titled "Industry Insights on the Advertising and Ad Tech Market" dated July 12, 2018

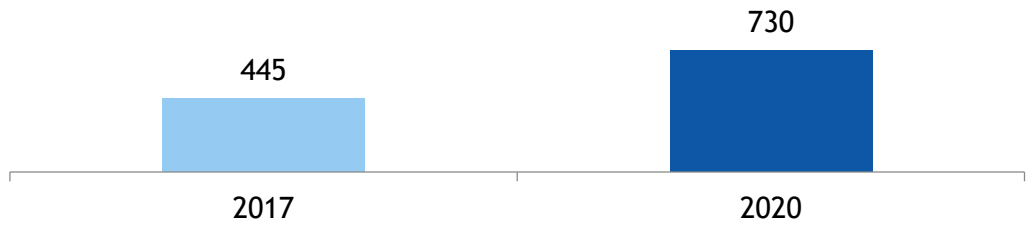
7 India, a high growth market characterized by rapid growth in internet, e-commerce and digital advertising

affle

- Positive outlook for the advertising industry, backed by a rapid economic growth, technology advancements and internet penetration

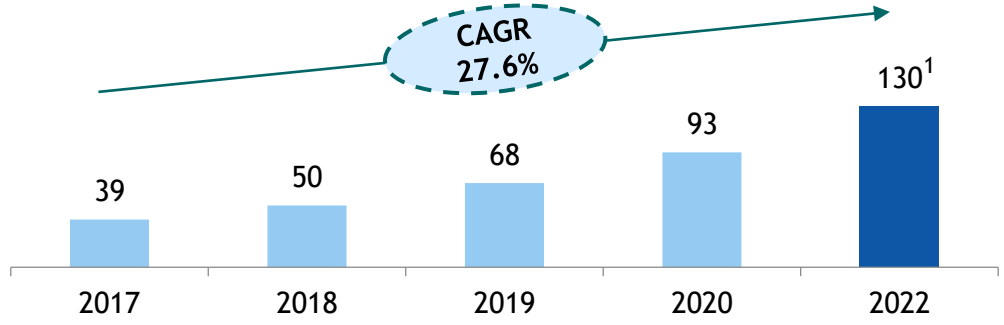
India's internet user base to expand significantly

 # internet users (mn)



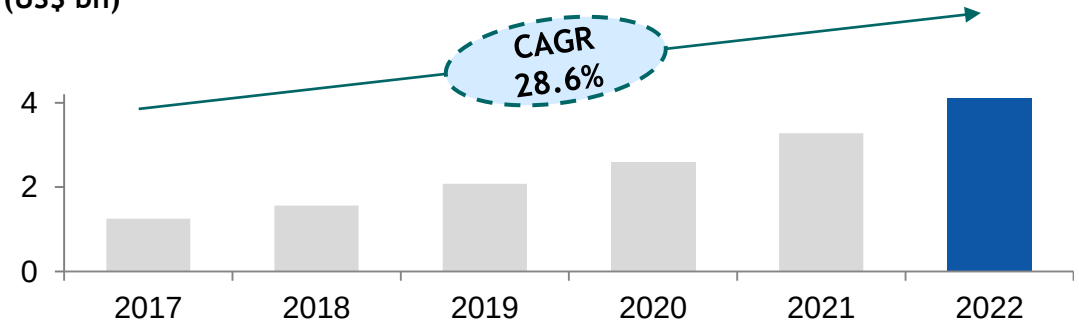
India's e-commerce market is in its early growth stages and has caused an all encompassing revolution in the retail industry

E-commerce market size (US$ bn)



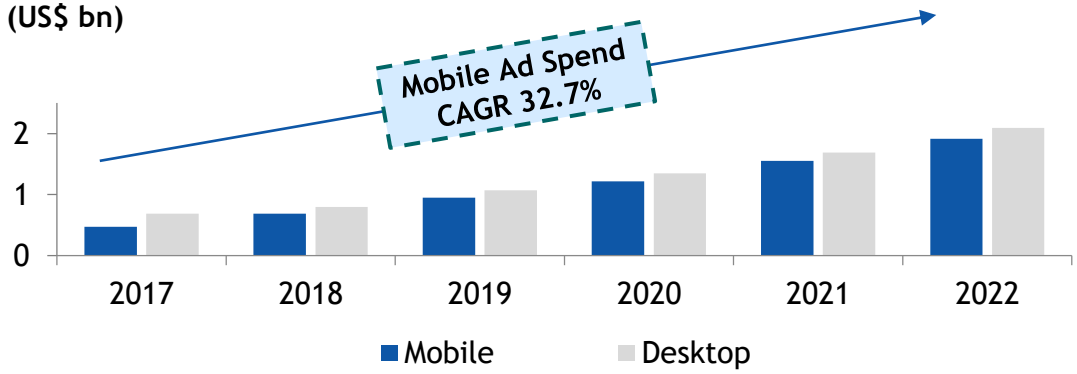
Digital advertising spend in India

(US$ bn)



Mobile vs. desktop advertising spend in India

(US$ bn)



1. Potential to be achieved basis increase in digital payments, broadband penetration and product options across the country
Source: Frost & Sullivan Report titled "Industry Insights on the Advertising and Ad Tech Market" dated July 12, 2018

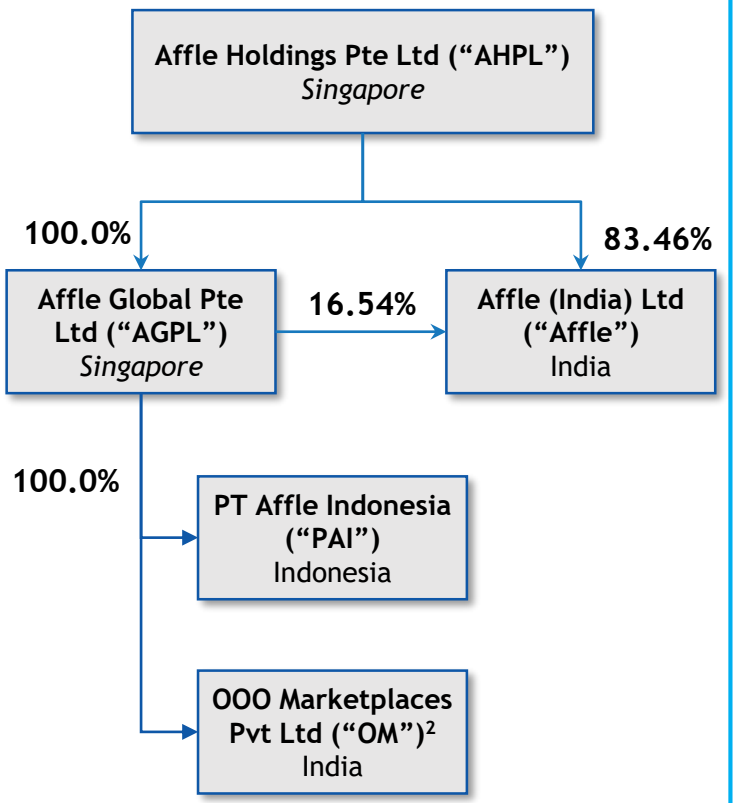
Group Structure, Financial Summary and Board & Management Profile

affle.com

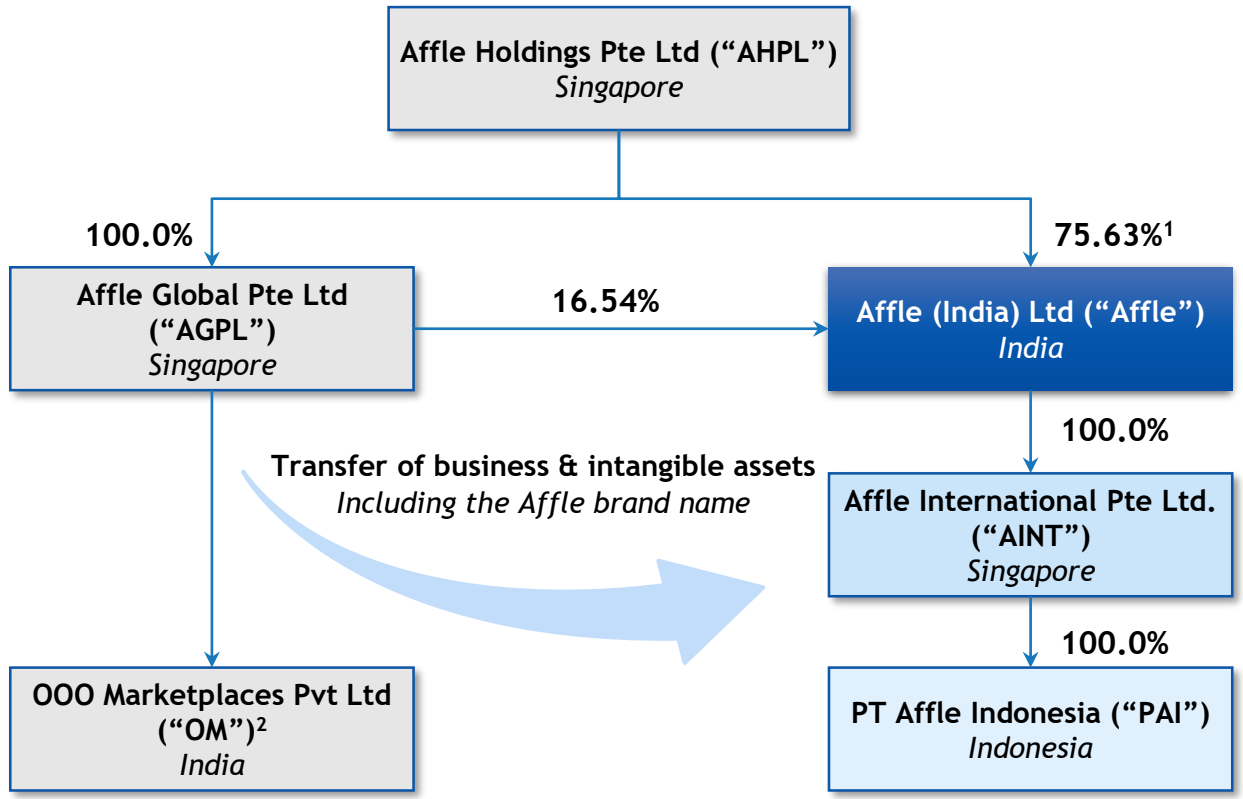
Shareholding Structure

Corporate restructuring effective July 1, 2018, in which a new Singapore subsidiary Affle International acquired all of Affle Global's business and intangible assets, including equity interest in PT Affle Indonesia

Shareholding prior to Restructuring



Shareholding structure post Restructuring



Key Investors of the Promoter (AHPL)

Microsoft

D2C

ITOCHU

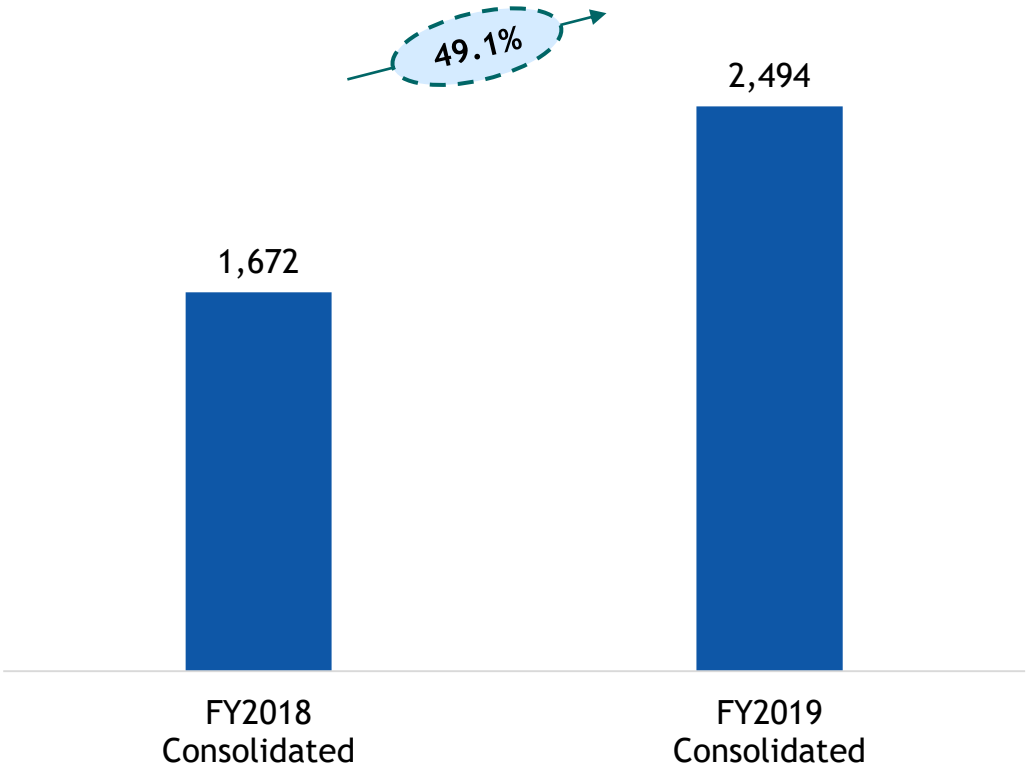
Bennett, Coleman & Co. Ltd.

Centurion

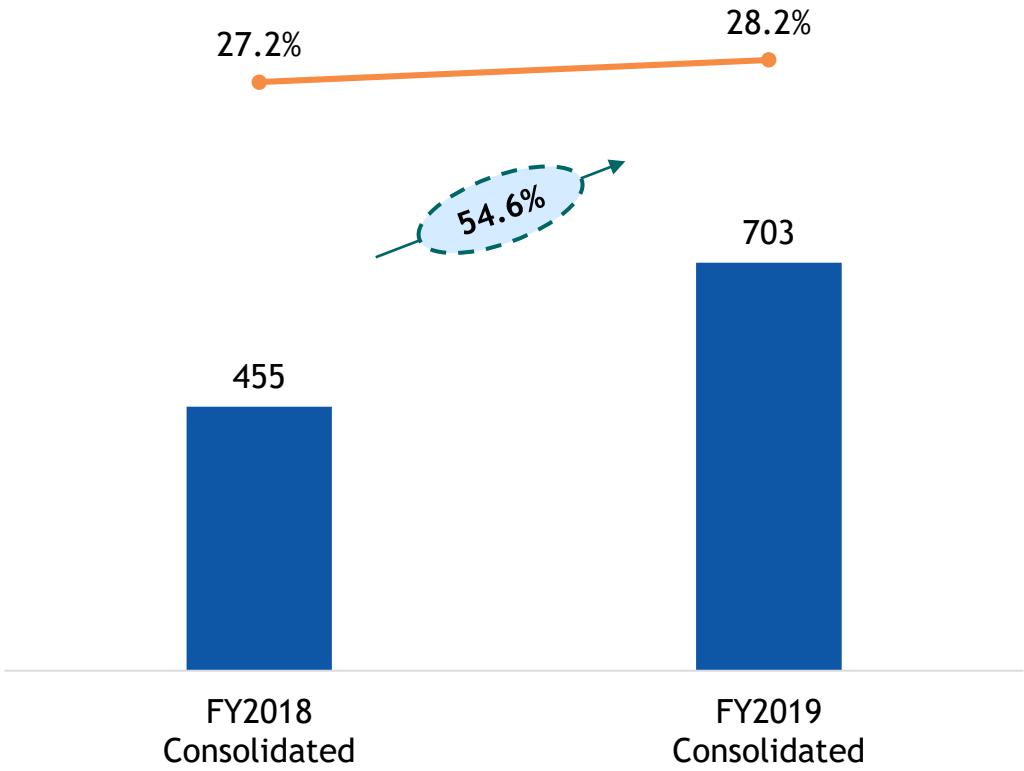
1. AHPL and the Company have entered into agreements by which AHPL has sold 1,616,214 and 285,214 equity shares of the Company (cumulatively ~7.8% shareholding) to Malabar India Fund Limited and Malabar Value Fund for Rs.1,164.50 mn and Rs.202.84 mn, respectively.; 2. Name was changed to 'Affle X Private Limited', as of July 4, 2019.

Financial Summary | Affle

Revenue from Operations (Rs. mn)



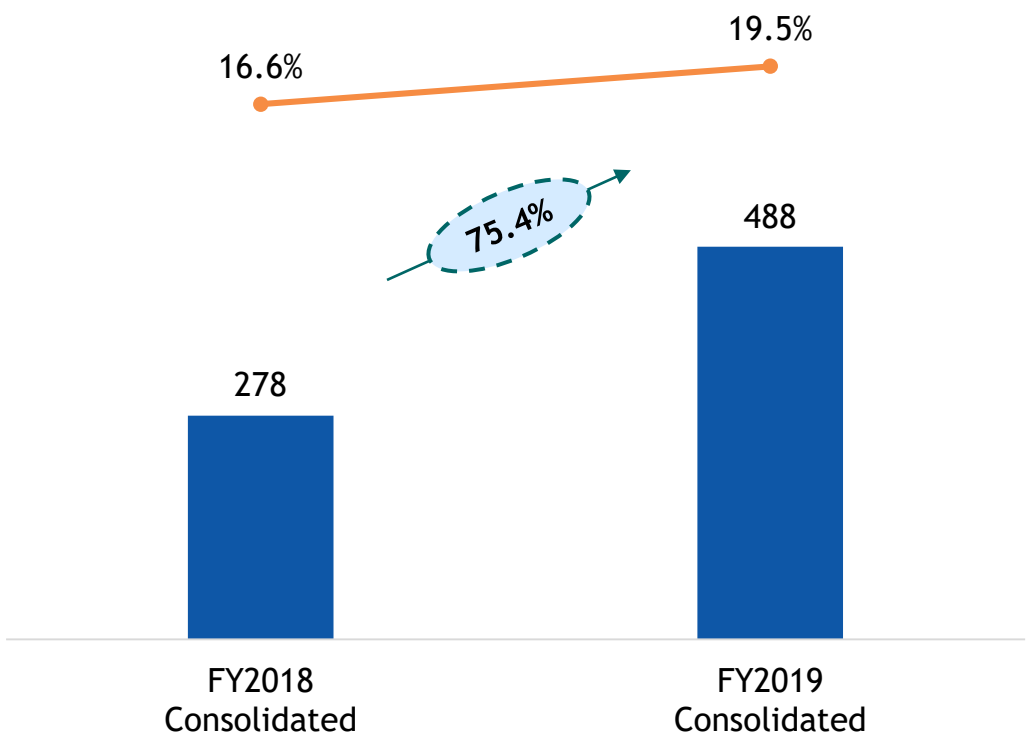
EBITDA (Rs. mn) & EBITDA Margin (%)



Consolidated information includes results of our Company, the Singapore Subsidiary and the Indonesian Subsidiary

Financial Summary | Affle

PAT (Rs. mn) & PAT Margin (%)



Key Ratios (%)

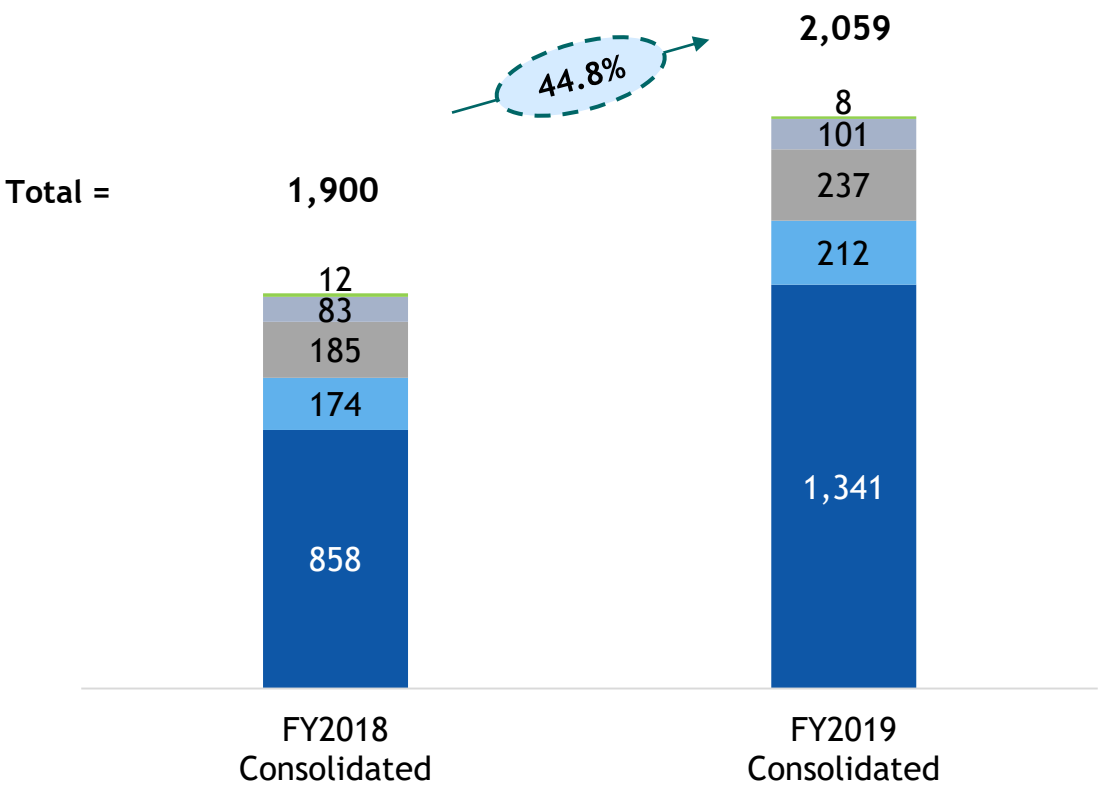
Key Ratios[1,2] (%)	FY2019 Consolidated
ROE (%) *(Return on Equity)*	67.4%
ROCE (%) *(Return on Capital Employed)*	74.2%
ROA (%) *(Return on Assets)*	30.8%
Debt/Equity (x)	0.12x

1. *Key Ratios: Return on Equity = (PAT / Total Shareholder's Equity); Return on Capital Employed = [EBIT /(Total Assets - Current Liabilities)] and Return on Assets = (PAT / Total Assets)*
2. *AINT has not acquired any asset except intangible asset & equity interest in subsidiary as on July 01, 2018, the profit attributable to period April 01, 2018 to June 30, 2018 of Rs. 59.94 mn pertains to Affle Global Pte Limited is not included in 'Other equity'. Adding Rs. 59.94mn to the Balance Sheet under Other Equity may have an impact on the ratios.*

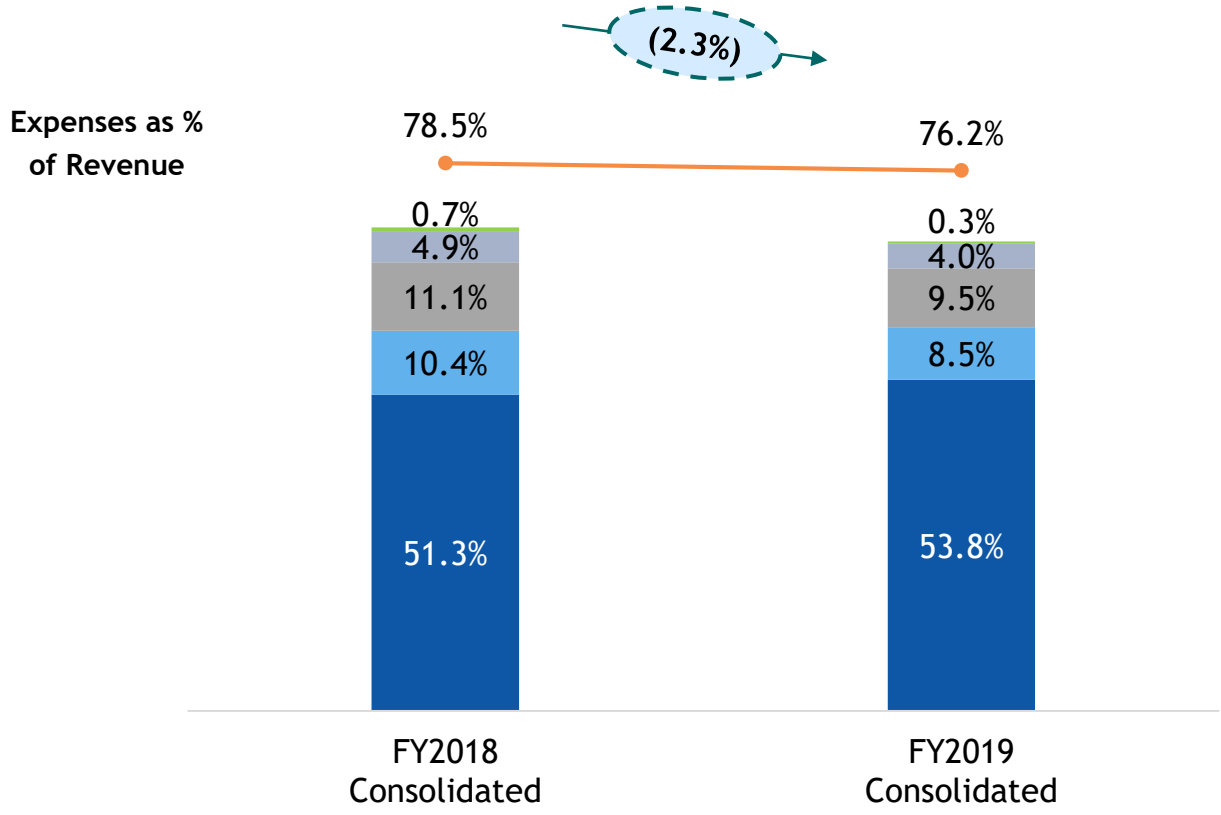
**Consolidated information includes results of our Company, the Singapore Subsidiary and the Indonesian Subsidiary*

Financial Summary | Affle

Total Expense (Rs. mn)



Total Expense as a % of Revenue



■ Inventory and data costs ■ Employee benefits expense ■ Other expenses ■ D&A ■ Finance costs

Consolidated information includes results of our Company, the Singapore Subsidiary and the Indonesian Subsidiary

Promoter and Independent Directors

Anuj Khanna Sohum

Chairman, Managing Director and Chief Executive Officer

Individual Promoter and Managing Director

- A technopreneur with over 18 years of experience in leading technology products / platform based businesses
- Co-founded Anitus Technologies Pte. Ltd. and Seclore Technology Pvt. Ltd. in past
- Graduated in computer engineering from the National University of Singapore (NUS), Stanford Executive Program from the Graduate School of Business, Stanford University and alumnus of Harvard Business School (OPM)*

Naresh Chand Gupta

Chairperson of Risk Management Committee

Non-Executive Independent Director

- Listed amongst the inventors in numerous patent applications for computer applications and previously the managing director in Adobe Systems India Pvt. Ltd. Currently, a partner in Accuracap Technologies LLP and a director in Info Edge (India) Limited
- Holds a B.Tech degree in computer science from IIT Kanpur, where he received the Ratan Swarup Memorial Gold Medal, master of science and Ph.d from University of Maryland

Sumit Mamak Chadha

Independent Director

Non-Executive Independent Director

- Over 27 years of experience in banking & financial services, previously worked in Citibank N. A. India for 20 years where she last worked as Director and at BlackRock Services India Pvt. Ltd. for two years as Managing Director. Currently, head of enterprise shared services at XL Catlin and a director of XL India Business Services Pvt. Ltd.
- Graduated from St. Stephen's College at University of Delhi and a master's degree in economics from Delhi School of Economics at the University of Delhi and a master's degree in economics from the University of California

Vivek Narayan Gour

Chairperson of Audit Committee

Non-Executive Independent Director

- Over 32 years of experience in marketing, financial services and aviation industry, previously in Genpact India and GE Capital Services India and also been the MD and CEO of Air Works India (Engineering) Pvt. Ltd. Currently, he is also serving on the boards of directors of MakeMyTrip Limited and IndiaMART InterMESH Limited
- Graduated in commerce from the University of Bombay, an MBA from FMS, University of Delhi and completed the Owner/ President Management Program from Harvard Business School

Bijynath

Chairperson of Nomination & Remuneration Committee

Non-Executive Independent Director

- An advocate and solicitor based out of Singapore, held the position of the Managing Director of the Camford Law Corporation when it was the Singapore member firm of PWC International. Founded the law firm Oxon Law and currently heads its practice
- Holds a bachelor's degree in jurisprudence from the University of Oxford

Sudhir Jatia

Chairperson of Stakeholders Relationship Committee

Non-Executive Independent Director

- Over 29 years of experience in luggage and travel products industry. Previously, been the director of VIP Industries Limited and currently the chairman and managing director of Safari Industries (India) Limited
- Owner/ President Management Program from Harvard Business School and graduated in S.Y.B.Com. from the University of Bombay

**Owner/President Management Program*

Key Management and Global Advisors

Anuj Kumar

Chief Revenue & Operating Officer

Executive Director

- Over 17 years of experience in advertising and technology platforms based business roles
- Previously worked with J Walter Thompson (JWT), WPP Marketing India Pvt. Ltd. and ESPN Software India Pvt. Ltd.
- Graduated from St. Stephen's at University of Delhi and post graduate diploma in communications from Mudra Institute of Communications, Ahmedabad (MICA)

Charles Yong Jien Foong

Chief Architect & Technology Officer

Executive Director

- Has been associated with Affle Global since 2008 as the Director Online Services
- Over 19 years of experience and previously worked with The Edge Consultants Pte. Ltd. and Okilabs Pte. Ltd.
- Bachelor's degree in Sciences and in Engineering (honours) from Monash University

Kapil Mohan Bhutani

Chief Financial & Operations Officer

Executive Director

- Leads the finance function for Affle
- Previously worked with KMG Infotech, a New York based software development Company and M/s. S. Mohan & Co.
- Graduated from University of Delhi and is a member of the Institute of Chartered Accountants of India

Mei Theng Leong

Chief Financial & Commercial Officer (International)

Non-Executive Director

- Over 19 years of experience in accounting & finance previously held positions at IHM Sdn. Bhd., Pioneer Corporate Services Pte. Ltd. and Group Financial Controller at Europtronic Group Ltd.
- Bachelor's of commerce majoring in accounting and finance from Curtin University of Technology, MBA from the University of Hong Kong and a fellow member of CPA Australia

Richard Humphreys

Director of AHPL

Advisor (Affle India)

- Extensive experience in advertising & media and previously served as the President of Saatchi & Saatchi Advertising Worldwide
- Later set up the Adcom Investors in the United States and over the years has advised some of the world's leading media companies

Jay Snyder

Independent Observer On Board of AHPL

Advisor (Affle India)

- Has served as a Public Delegate, U.S. representative at the 55th UN General Assembly, a member of the US Advisory Commission on Public Diplomacy & as Commissioner of the New York State Commission for Public Authority Reform
- Currently principal at HBJ Investments LLC, a private-equity and seed-capital funding company and has also worked with Biocraft Laboratories, retiring as its Vice-President of Research and Product Development

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